

The overwhelming consensus was to concentrate investment in gold stocks, Swiss francs or short term Treasury bills. The social mood then was quite the opposite of what it is today. In fact, in December 1978, Roper showed that for the first time in the history of its poll dating back to 1959, Americans rated the future as less promising than the present. The President's popularity was the lowest in modern political history, even lower than President Nixon's two months before he resigned. In each of 1978, 1979, 1980 and 1981, the percentage of advisory services bearish climbed to the 60% level, a record string of bearish readings. In 1980, even the big guns in the major brokerage houses, typically bastions of bullishness as a matter of self-interest, were staunch and vocal bears. By 1982, ads in *Barron's* reached the point that offers of booklets entitled "Widows & Orphans Guide to Short Selling" would have fit right in. On June 10 of that year, a broker jumped from a window, committing suicide.

That state of sentiment was not without reason. Headlines in mid-1979 included, "Chaos in the Gas Lines," "Record Jump in Money Supply," "Inflation 'Uncontrollable'," "Recession Looms," "Nationalize Big Oil?," "Odd-Even Plan: Disaster," "Price of Wheat Soars," "Farmers: Food Rotting in Fields," and "Severe Food Shortage Due Next Week." U.S. Senator Patrick Moynihan was widely quoted as saying, "This is the most serious economic crisis since the depression." In October 1979, *The Wall Street Journal* ran a series of articles entitled "The Depression Remembered," a reflection of the widespread fear (and something that would never appear at a top). *The New York Times*, *U.S. News*, and other publications recounted the 1929 crash, which was also paid tribute in a "special" by the *Wall Street Week* television program. A May 7, 1981 *Wall Street Journal* article entitled "Surge in Interest Rates Puts Squeeze On Already Ailing Economic Sectors" included these excerpts: "I think the economy is starting to crack," says an economic consultant. "The savings and loans are bleeding to death." Auto sales "are in the sub-basement; how can Chrysler make it under these circumstances?" "Housing is dead; sales are nonexistent." On June 2, 1981, West German Chancellor Helmut Schmidt warned publicly that high U.S. interest rates would precipitate world depression. On the same day, rumors circulated on Wall Street that the low level of free reserves in banks had reached a crisis and that if the Federal Government did not step in within one hour and save the banks, the entire U.S. banking system would collapse. Countless articles and interviews reflected the same fears over the ensuing year and a half. As late as January 1983, the immensely popular "60 Minutes" television pro-